

whether bitcoins will be that system that makes the breakthrough globally is not so clear.

But bitcoins have given super returns, how can you say that they are not good investments? My answer to this question asked by a colleague is another question: How certain are you of a Sensex-based ETF of giving inflation-plus returns if held for at least 7–10 years? Very certain, she said. How certain are you that bitcoin will give you the same return, if not more? Not certain at all.

It could make her very rich or that investment may go to zero. Bitcoin is a very high-risk product; and therefore potentially high-return investment today. Buy at your own risk and then only small quantities. ***If you are not investing in mutual funds because of the risk, you are totally nuts to be investing in bitcoin.*** It's like a person scared of the water, and refusing to get in the shallow, seeing a golden goose in the deep end and jumping in. You may catch the goose, and it may fly away with you and you may live happily ever after, or you may see the bottom of the pool up close.

So what are ICOs? These are people launching new cryptocurrency and hoping that it becomes the next bitcoin. Two words for you: Stay away. But if the itch of greed is too much, take 1 per cent or 2 per cent of your annual investment amount and buy bitcoins. This takes care of the urge to be a part of this phenomenon and keeps the bulk of your money safe. I'm not even doing that. Because this behaviour clashes with my other golden rule about money: if a deal is too good to be true, it is too good to be true.

Notice that I used the word 'traumatized' in an earlier para. Financial planners and advisers who care about their profession find it traumatizing to see people fall into traps and lose their money. It is like a person who knows where landmines are in the ground and is shouting to keep people off the danger zones. Those who venture ahead do get their money boxes blown apart. And here's the thing with money mistakes – when they realize they've been had, they become 'long-term' investors!

Spending too much, borrowing to spend and impulsive investment punts have the power to derail years of work on a money box. The mantra is balance, and don't lose it.